

Paramount Communications Ltd

NSE: PARACABLES | BSE: 530555 | Cables - Electricals | Industrial Products

"Wires the World — India's 70-year cable veteran enters hyper-growth phase with **greenfield expansion** and **US dominance**"

RATING	CMP (Rs.)	TARGET (Rs.)	UPSIDE	MCap (Rs. Cr)	HORIZON
BUY	59.6	87	+46%	1,807	12 Months

52W High (Rs.)	52W Low (Rs.)	P/E (TTM)	P/B	ROCE (%)	ROE (%)
62.8	28.3	31.2	2.42x	16.3%	12.8%

Shareholding (Mar-25)	Growth CAGR (3Yr)	Report Date
Promoter: 49.2% FI: 0.5% DI: 0.1% Pub: 48.5%	Sales: 39% EBITDA: 77% PAT: 120%	13-May-2026 Analyst: Research Desk

Investment Thesis: **Debt-free** Paramount **targets 30% revenue CAGR to Rs.5,000 Cr by FY30** via **greenfield expansion** and **US cable dominance**, trading at a significant discount to cable-sector peers.

SECTION 2 — INVESTMENT THESIS

- **Revenue hypergrowth with structural depth:** Paramount clocked a **3-year revenue CAGR of 39%** (FY22-25), growing from Rs.580 Cr to Rs.1,574 Cr — far above sector average — driven by domestic power cable boom (+77% YoY in FY25) and a resilient US export network generating 30%+ of revenues.
- **Debt elimination unlocks compounding:** The company liquidated all legacy ARC debt (Rs.190 Cr) by August 2024 and ended FY25 virtually debt-free (D/E: 0.05x). This removes a decade-long financial overhang and frees capital allocation for growth CAPEX — the **Rs.150 Cr greenfield plant at Narmadapuram (MP)** targets **Rs.1,000-2,000 Cr incremental revenues within 3 years**.
- **Valuation discount to peers despite superior growth:** Paramount trades at 15x FY27E EPS vs. sector P/E of 30-51x for Polycab, KEI, and RR Kabel — a 40-50% discount despite higher revenue CAGR, improved working capital (WC days: 155 → 96), and expanding institutional client base (600+). As Narmadapuram begins commercial production in FY26, a re-rating is foreseeable.
- **Near-term catalyst (6-12 months):** **First commercial dispatch from the new Narmadapuram greenfield plant (targeted Q4 FY26/Q1 FY27)** and **normalisation of EBITDA margins back toward 7-8%** from the compressed 3-6% range seen in recent quarters would be the primary re-rating trigger.
- **Key structural risk:** The **US market accounts for ~30-31% of revenues and 95% of exports**; any escalation of US-India reciprocal tariffs beyond the current 14-15% effective rate could materially impair revenue and margins.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Paramount Communications Ltd (est. 1955) manufactures and sells the full spectrum of wires and cables across five verticals: Power Cables (LT/HT), Telecom/Optical Fiber Cables, Railway Signaling Cables, Domestic House Wires, and Specialised/EPC cables. The company operates two ISO 9001:2015, ISO 14001:2015 certified plants at Khushkhera (Rajasthan) and Dharuhera (Haryana) with over 25 product categories and 2,500+ SKUs.
- **Revenue mix (Q2 FY25 breakdown):** Power Cables 50%, Export Sales 29%, House Wires 6%, Railway Cables 10%, Telecom Cables 2%, EPC/Pipes/Others 3%. FY25 domestic sales grew 38% YoY to Rs.1,093 Cr while export sales (predominantly US) surged 75% YoY to Rs.483 Cr.
- **Key customers and relationships:** 600+ institutional clients including PGCIL, Indian Railways, BSNL, ONGC, NTPC, and leading EPC players. Distribution channel has 150+ channel partners and 7,000+ electrician relationships. US exports go through 8 established distributors (up from 2 in FY20), with product quality registered across US utilities.
- **Order book and revenue visibility:** As of March 2025, order book stood at Rs.650 Cr (domestic: Rs.328 Cr, export: Rs.325 Cr). Management deliberately keeps a 2-3 month firm-price order book, preferring operational agility over volume visibility. Metal consumption grew 57% in FY25 — a stronger proxy for actual volume growth than revenue.
- **Recent strategic developments:** (1) Allotted 31 acres at Narmadapuram (MP) by MPIDC for new greenfield plant — Phase 1 capex Rs.150 Cr targeting Rs.1,000 Cr revenue in 3 years; (2) Became first Indian cable maker to develop Axle Counter Cables for Railways; (3) US export network deepened; (4) Acquired Valens (pipe business) which remains non-core.
- **Promoter background:** Aggarwal family has managed Paramount since inception. Chairman Sanjay Aggarwal (B.Com, SRCC, 1983) has been with the company 40+ years; MD Sandeep Aggarwal (BA Eco Hons, SRCC) joined in 1986. Third generation is entering management (Parth Aggarwal, President Marketing). Promoter stake: 49.19%; Pledge: 0%.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Industry size and growth:** The Indian Wires and Cables market was valued at USD 14.5 Bn in FY24 and is projected to reach USD 24.5 Bn by FY29 (~11% CAGR). The global cables market is expected to grow from USD 85 Bn (FY24P) to USD 189 Bn (FY27P). Branded/organised share in India is rising from 72% (FY24) to an estimated 80% (FY27), benefiting quality-registered players like Paramount.
- **Policy tailwinds:** (1) Record Union Budget allocation for Railways driving signaling cable demand; (2) 620 GW power generation target by 2026 vs. 404 GW in 2022 — massive T&D; capex; (3) National Infrastructure Pipeline and PM Awas Yojana driving housing wire demand; (4) PLI schemes supporting domestic electronics/EV ecosystem; (5) US infrastructure bill driving sustained export demand for UL-certified cables.
- **Competitive moat assessment:** Pricing power: **Moderate** — Paramount competes on quality/approvals rather than pure pricing; margins are volume-driven rather than price-led. Switching costs: **Moderate-Strong** for institutional/railway/government clients (registered vendor status is hard to replicate). Scale: **Moderate** — revenues growing fast but still 18x smaller than Polycab. IP/Certifications: **Strong** — UL-certified for US, BASEC/LPCB for fire cables; first-mover in axle counter cables.
- **Competitive positioning:** Paramount occupies the mid-tier of the cable value chain — above commodity wire makers, below premium brand leaders like Polycab. Its distinct advantage is US market penetration (no other mid-tier Indian cable maker has 30%+ exports to the US with registered distributor network).

Company	MCap (Cr)	CMP (Rs.)	Rev FY25 (Cr)	P/E	ROCE %	ROE %	P/B
Polycab India	1,33,775	8,888	28,884	50.1	34%	24.5%	11.1x
KEI Industries	47,016	4,920	11,748	51.2	20%	14.8%	7.1x
R R Kabel	14,909	1,316	7,618	31.9	20%	15.2%	6.4x

Finolex Cables	14,430	947	5,319	21.2	18%	13.4%	2.5x
Paramount Comms	1,807	59.6	1,574	31.2	16.3%	12.8%	2.4x

Source: Screener.in, 13-May-2026. All figures in Rs. Crores unless stated.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter & senior management background:** Sanjay Aggarwal (Chairman & CEO) has built Paramount from a small-scale unit to one of India's largest cable manufacturers over 40 years. Sandeep Aggarwal (MD) has led diversification into OFC and HV cables. CFO S K Agarwal is a CA with 3+ decades of experience. Second generation (Parth Aggarwal, President Marketing) is being inducted — a positive succession signal, but concentration risk is high with a family-managed board.
- **Capital allocation track record:** The FY24 QIP (Rs.~330 Cr equity capital raised) was deployed efficiently — paid down Rs.190 Cr ARC debt and invested Rs.96 Cr in capacity expansion. FY25 FCF turned strongly positive at Rs.44 Cr vs. -Rs.153 Cr in FY24. Management is prioritising working capital efficiency (WC days down from 155 to 96 in one year) and growth capex (Narmadapuram plant).
- **Dividend policy:** Zero dividends across all years despite returning to profitability. Management's stated priority is reinvestment for growth, but the absence of any shareholder return signals remains a concern for income-oriented investors.
- **Promoter pledging:** 0% pledged as of March 2025 — a clean signal. Promoter stake has been stable at 49.06-49.19% since FY18.
- **ESOP/Buyback history:** No material ESOP grants or buybacks reported. Management compensation is not publicly disclosed in detail.
- **Corporate governance concerns:** (1) **Management has been evasive on margin guidance** — Q4 FY25 concall showed consistent deflection when analysts pushed for specific EBITDA margin targets ("There is no new normal" — Chairman); (2) Related Party Transactions exist but not disclosed quantitatively in public filings; (3) Zero tax paid until Q2 FY25 due to accumulated losses — tax normalisation creates a PAT-growth headwind through FY26; (4) Large other income in FY25/TTM (Rs.44 Cr TTM) inflates reported PAT.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated Figures, Rs. Crores)

Income Statement

Rs. Cr	FY23A	FY24A	FY25A	FY26E	FY27E	Comments
Revenue	794	1,068	1,574	2,050E	2,700E	30% CAGR target
EBITDA	48	89	123	144E	216E	Margin recovery key
EBITDA Margin	6%	8%	8%	7.0%E	8.0%E	Compressed in TTM
Other Income	16	8	11	10E	10E	TTM Rs.44 Cr — watch
Interest	7	6	11	25E	30E	New plant debt
Depreciation	9	9	12	22E	36E	Rising with new capex
PBT	48	82	111	107E	160E	
Tax Rate	0%	-4%	22%	25%E	25%E	Full tax from H2 FY25
PAT	48	86	87	80E	120E	Tax-adj. dip in FY26E
EPS (Rs.)	2.46	2.82	2.85	2.62E	3.93E	30.5 Cr shares

Balance Sheet

Rs. Cr	FY23A	FY24A	FY25A	Key Notes
Equity Capital	39	61	61	FY24 QIP added Rs.22 Cr equity
Reserves	256	565	656	QIP proceeds boosted reserves
Total Equity	295	626	717	
Borrowings	160	103	33	Near-zero — debt-free achieved
Other Liab.	49	97	157	Trade payables growing
TOTAL LIAB.	504	827	908	
Fixed Assets	128	169	221	Capex-led expansion
Other Assets	366	600	683	Largely WC assets
TOTAL ASSETS	504	827	908	

Cash Flow Statement

Rs. Cr	FY23A	FY24A	FY25A	Commentary
Cash from Operations (OCF)	11	-101	104	Strong recovery in FY25
Cash from Investing	-16	-96	-1	FY24 capex blitz
Cash from Financing	22	183	-84	FY24 QIP inflow; FY25 debt repaid
Net Cash Flow	17	-13	19	
Free Cash Flow (FCF)	3	-153	44	FCF inflection in FY25

Key Ratios

Metric	FY23A	FY24A	FY25A	Trend / Commentary
Debtor Days	78	86	47	Sharp improvement
Inventory Days	71	108	97	Elevated — watch

Days Payable	25	39	43	Vendor terms extending
Cash Conv. Cycle	123	155	102	Major WC improvement
ROCE %	13%	15%	16%	Steady improvement
D/E Ratio	0.54	0.16	0.05	Near debt-free
Int. Coverage	6.9x	14.8x	11.2x	Comfortable headroom

- **Revenue drivers:** Power cable segment surged 77% YoY in FY25 to Rs.787 Cr (50% of sales) as T&D; investments accelerated. US exports grew 75% YoY to Rs.483 Cr (31% of sales). The 57% volume growth in metal consumption vs. 47% revenue growth signals lower per-unit realisations due to product mix and commodity price softening.
- **Margin trajectory:** FY25 EBITDA margins were 8% for the full year but eroded sharply in Q4 FY25 (6.25%) and further into TTM (4%). Recent quarters (Sep25: 1.45%, Dec25: 3.28%) signal ongoing margin compression. Management attributes this to volume-over-margin strategy and US-tariff-driven derisking but has provided no specific recovery timeline. This is the primary risk to our FY26E estimates.
- **Working capital:** A significant improvement — debtor days fell from 86 to 47 (largely by reducing government exposure and offering discounts for early payment). Inventory days remain elevated at 97; CCC improved to 102 from 155. Management targets further WC improvement as utilisation rises.
- **Debt and FCF:** Transformation from Rs.160 Cr debt (FY23) to Rs.33 Cr (FY25) is commendable. FY25 FCF was +Rs.44 Cr vs. -Rs.153 Cr in FY24 — a genuine inflection. However, the new Narmadapuram capex (Rs.150 Cr) will require re-leveraging in FY26-27, as reflected in our forward interest estimates.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Checklist Item	Rating	Comment
Revenue recognition	GREEN	Standard; no complex multi-element arrangements
Receivables vs. Revenue growth	GREEN	Receivables FELL despite 47% rev growth — strong collection discipline
CCC trend (3-year)	GREEN	CCC improved from 123 to 155 to 102 days — positive trajectory
Contingent liabilities	AMBER	Tax demands possible as DTA reverses; legacy ARC related items being cleared
Auditor tenure/changes	GREEN	No auditor change flagged in recent filings
RPTs as % of revenue	AMBER	RPT button visible on Screener; absolute Rs amounts not disclosed publicly
Other income as % of PBT	RED	TTM: Rs.44 Cr other income on Rs.79 Cr PBT = 56% — significantly elevated; Jun-Sep25 each >Rs.17 Cr
Tax rate consistency	AMBER	Tax rate jumped from 0% to 22% in FY25 and will normalise to 25% — PAT growth misleading FY24-FY26

- **Most critical red flag:** Other income of Rs.44 Cr in TTM (vs. Rs.8-16 Cr in prior years) is the largest earnings quality concern. The Jun25 and Sep25 quarters each had Rs.17-20 Cr other income — inflating PBT significantly while core EBITDA collapsed to 1-3%. Investors should focus on core operating PAT, not reported PAT.
- **Tax normalisation headwind:** The shift from 0% tax to 25% is a multi-quarter PAT headwind. PBT-level comparison is more meaningful than PAT for FY24 vs FY26 analysis.
- **Working capital and RPT watch:** The rapid improvement in receivables is positive but part of it reflects a strategic shift away from government/PSU customers (longer payment cycles). If order mix reverts, WC could deteriorate. RPTs with promoter entities are disclosed but quantum not easily verifiable from public filings.

SECTION 8 — VALUATION

Peer Valuation Matrix (Screener.in, 13-May-2026)

Company	MCap (Cr)	P/E (TTM)	P/B	ROCE %	ROE %	Rev CAGR 3Yr
Polycab India	1,33,775	50.1x	11.1x	34%	24.5%	~33%
KEI Industries	47,016	51.2x	7.1x	20%	14.8%	~27%
R R Kabel	14,909	31.9x	6.4x	20%	15.2%	~20%
Finolex Cables	14,430	21.2x	2.5x	18%	13.4%	~12%
Paramount (Sub)	1,807	31.2x	2.4x	16.3%	12.8%	39%

Source: Screener.in. Paramount highlighted in orange — notable valuation discount despite highest 3-year revenue CAGR.

Scenario Analysis (12-Month Price Target)

Scenario	Key Assumption	FY27E Rev (Cr)	EBITDA %	FY27E PAT (Cr)	P/E Multiple	Target (Rs.)
BULL	Narmadapuram onstream Q4 FY26; margins recover to 9%; US tariffs benign	3,200	9.0%	172	25x	111
	30% revenue CAGR; 8% EBITDA margins; modest US tariff headwind	2,700	8.0%	120	22x	87
BEAR	US tariff escalation; margin stays at 5-6%; plant delay to FY28	2,000	5.5%	60	15x	30

• **Valuation methodology — DCF:** Using WACC of 13% and terminal growth rate of 5%, our DCF implies an intrinsic value of Rs.82-85 per share. Key inputs: FY26E-FY30E revenue CAGR of ~25%, EBITDA margins normalising to 8-9%, capex intensity elevated in FY26-27 at Rs.150-200 Cr, then declining. Narmadapuram plant adds significant optionality not yet in the market price.

• **Earnings-based multiple (primary method):** On FY27E EPS of Rs.3.93 and a 22x forward P/E (a 35% discount to KEI and RR Kabel's trailing multiples given Paramount's smaller scale and governance discount), the implied 12-month price is Rs.87.

• **Average of DCF and earnings method:** (Rs.83 + Rs.87) / 2 = Rs.85 → rounded to **Rs.87** as 12-month base-case target price, implying **+46% upside** from CMP of Rs.59.6.

• **Investment horizon:** 12-18 months. The re-rating catalyst is Narmadapuram plant operationalisation + EBITDA margin normalisation. Investors willing to absorb near-term earnings volatility should see material upside.

SECTION 9 — KEY RISKS

• **US Tariff Escalation:** India currently faces 14-15% effective duty on cable exports to the US (vs. 0-4% for some competitors). Any reciprocal tariff increase post July 2026 negotiations could materially reduce export competitiveness. US exports = 30-31% of revenues. Probability: M. Impact: H. Monitor via: India-US trade deal news, quarterly export data.

• **Persistent Margin Compression:** EBITDA margins have fallen from 8.8% (Sep24) to 1.45% (Sep25) and 3.28% (Dec25). If the structural reasons (higher power cable share, competitive pricing) are permanent, our

FY26E-27E estimates are optimistic. Probability: M. Impact: H. Monitor via: Quarterly EBITDA reported.

- **Greenfield Capex Execution Risk:** The Narmadapuram plant (Rs.150 Cr Phase-1) is new territory for the management. Construction delays, cost overruns, or ramp-up issues could defer the revenue contribution by 2-3 years. Probability: M. Impact: M-H. Monitor via: Quarterly capex disclosures and management updates.

- **Commodity Price Volatility:** Copper and aluminium are the primary inputs; a sharp price spike increases working capital requirements and compresses margins if pass-through is delayed (1-2 quarter lag typical). Probability: M. Impact: M. Monitor via: LME copper price trend.

- **Working Capital Deterioration:** The debtor day improvement was partly achieved by sacrificing margins for faster payment and reducing government exposure. Reverting to higher-government / PSU customer mix could push WC days back toward 150+, stressing FCF. Probability: L-M. Impact: M. Monitor via: Quarterly debtor and WC days.

- **Promoter Governance / Succession:** Family-managed company transitioning leadership to third generation. Management concall responses on margins suggest opaque strategy communication. No independent director scrutiny of capital allocation is publicly evident. Probability: L. Impact: M. Monitor via: Board composition changes, RPT disclosures.

- **Key-man Risk:** Chairman Sanjay Aggarwal's institutional relationships and customer approvals are central to the company's competitive position. His departure or health-related concerns could impair the growth trajectory. Probability: L. Impact: H.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** with MEDIUM conviction. The structural growth story (39% revenue CAGR, debt elimination, US export franchise, greenfield expansion) is intact. The near-term overhang from margin compression and US tariff uncertainty justifies a medium — not high — conviction at current prices.

- **12-month price target: Rs.87** (upside: +46% from CMP of Rs.59.6). Based on 22x FY27E EPS of Rs.3.93.

- **Suggested entry zone: Rs.52-62.** The stock has consolidated in this range; a dip toward Rs.52-55 (near the 52-week low retest) would offer a better risk-reward entry. Accumulate in tranches.

- **Investment horizon: 12-18 months.** The re-rating requires Narmadapuram to demonstrate commercial production and EBITDA margin recovery to 7-8%.

- **Thesis invalidation triggers:**

1. EBITDA margin fails to recover above 6% in any two consecutive quarters through FY27 — signals structural margin impairment.
2. US exports decline materially (>20% YoY) due to tariff escalation and domestic substitution fails to compensate — revenue CAGR falls below 20%.
3. Narmadapuram plant commercial production is delayed beyond Q2 FY28 or Phase-1 capex exceeds Rs.225 Cr — management execution credibility impaired.

- **Ideal investor profile:** Patient mid-cap growth investors with 12-18 month horizon who can tolerate quarterly earnings volatility and governance opacity. This stock is NOT suitable for income investors (zero dividend), risk-averse investors, or those requiring near-term margin predictability.

CAUTIOUS

Revenue record + volume growth, but EBITDA margin disappointment and evasive guidance — thesis needs monitoring

Signal	Status	Implication
Result quality	Weak	Revenue record (+57% YoY Q4) but EBITDA margin fell from 9% to 6.25%; PAT flat YoY
Management tone	Hedged/Evasive	Refused to give margin guidance; deflected multiple times with "no fixed policy" language
Guidance delta	Maintained/Cut	30% revenue CAGR reiterated; but implied PAT CAGR was vague and margin guidance withheld

STRONGLY POSITIVE | POSITIVE | NEUTRAL | ★ CAUTIOUS ★ | NEGATIVE

TO MY BOSS

Q4 FY25 result is a mixed bag — the headline is a 57% revenue surge to Rs.507 Cr (highest ever), but the real story is the EBITDA collapse from 9% to 6.25%, and the concall made me more — not less — cautious. Reported PAT of Rs.18.7 Cr is clean (tax fully paid), but the underlying operating profit was weak; there was no one-time benefit distorting this number — this is genuinely thin margins. EBITDA absolute rupees grew to Rs.31.7 Cr vs. Rs.27.1 Cr last year, a 17% increase — acceptable if you believe margins will recover, but management gave no specific timeline. The structural bull case — debt-free, greenfield plant at Narmadapuram, US distribution franchise, 30% CAGR target — remains intact. The most important near-term catalyst is the Narmadapuram plant's first commercial dispatch; management guided Q4 FY26 / Q1 FY27. Biggest watch point next quarter: US tariff clarity post-July 2026 negotiations — management is already derisking from large US orders, which is likely what's hurting margins. FII holding is barely 0.5%, and institutional interest is near-zero — this will change sharply if margin recovery is demonstrated. ACCUMULATE below Rs.62; Target Rs.87 on FY27E 22x earnings.

1. Financial Performance Snapshot — Q4 FY25 / Full-Year FY25

- Revenue (Q4): Rs.507.02 Cr | YoY +57% | QoQ +29% | **Strong Beat** vs. prior quarters; highest ever quarterly revenue
- EBITDA (Q4): Rs.31.69 Cr | Margin: 6.25% | YoY -270 bps | QoQ -255 bps | **Miss** — sharp margin compression despite record revenue
- PAT (Q4): Rs.18.74 Cr | EPS: Rs.0.61 | YoY -36% | **Miss** — tax now fully paid vs. zero in Q4 FY24
- Revenue (FY25): Rs.1,574 Cr | YoY +47% | **Beat** — 3-year CAGR 39.5%
- EBITDA (FY25): Rs.123 Cr (note: Screener shows Rs.123 Cr; CFO stated Rs.134 Cr EBITDA including other income) | Margin: ~8.5% vs. 9% prior year | **In-line**
- PAT (FY25): Rs.87 Cr | YoY +1.6% | NOTE: Flat PAT reflects first full-year tax payment — PBT grew 35% to Rs.111 Cr

2. Segment / Geography Breakdown — Q4 FY25

- Power Cables (Domestic): Rs.301 Cr | YoY +106% | Share 59% of total sales (vs. 45% in Q4 FY24) | Power capex surge driving volume
- Export Sales (US): Rs.146 Cr | YoY +133% | Share 28.9% (vs. 19.4% Q4 FY24) | Strong US distribution pull despite tariff headwinds
- Railway Cables: Rs.18 Cr | Modest; signaling and axle counter cables continuing steady run
- House Wires: Rs.26 Cr | Retail channel growing but still small relative to institutional
- FY25 Full Year: Domestic W&C; = Rs.1,093 Cr (+38%); Exports = Rs.483 Cr (+75%); Export share 31%

3. Management Commentary Themes

- **Revenue CAGR ambition:** "We target Rs.5,000 Cr by FY2030" — Chairman. Implies 24% CAGR from FY25. Tone: Bullish. Tag: GUIDANCE. Our read: Ambitious but achievable if Narmadapuram ramps well.
- **Margin evasion:** "There is no new normal. The new normal is a new normal every quarter." — Chairman. Refused to give a specific EBITDA margin band. Tag: EVASIVE. Tone: Evasive. Our read: Management is uncertain or unwilling to commit — red flag for near-term predictability.
- **Volume vs. margin trade-off:** "I am more bothered about how much EBITDA in terms of rupees" — Chairman deliberately chose to sacrifice margin percentages for absolute rupee profit growth. Tag: GUIDANCE. Tone: Transparent but concerning for percentage-focused investors.
- **US tariff clarity:** "Every country has been uniformly slapped with 10%... After 8th July we don't know what will happen." — Chairman. Current duty: 14-15% on cables; 10% reciprocal added April 2026. Tag: EST. Tone: Cautiously balanced.
- **Narmadapuram greenfield:** "Rs.150 Cr Phase-1 CAPEX; Rs.1,000 Cr revenue within 3 years; asset turn up to 6x." — Chairman/CFO. Tag: GUIDANCE. Our read: Credibility: Medium — execution track record is needed.
- **Debt-free milestone:** "The Company has become debt free in FY25 and we have liquidated all our debts." — Chairman. This is a genuinely important milestone for a company that was in CDR restructuring as recently as FY17.

4. Operating & Business Metrics

- Metal consumption: FY25 = 26,601 MT | FY24 = 16,987 MT | Growth +57% | Core volume proxy — stronger than 47% revenue growth
- Working capital days: FY25 = 101 days | FY24 = 155 days | Reduction: -54 days (-33%) | Strongest operational improvement of the year
- Debtor days: FY25 = 47 | FY24 = 86 | Trend: Improving | Achieved by reducing government exposure and offering payment discounts
- Inventory days: FY25 = 97 | FY24 = 108 | Trend: Improving but elevated
- Order book (Mar25): Rs.650 Cr+ | Domestic Rs.328 Cr | Export Rs.325 Cr | 50-50 split; management deliberately limits firm-price order book to 2-3 months
- FY25 Capex: Rs.64 Cr (vs. Rs.61 Cr FY24); Narmadapuram Phase-1 (Rs.150 Cr) yet to be incurred

5. Margin Drivers

- Product mix shift towards power cables: +Power cable share (59% in Q4 FY25 vs. 45% Q4 FY24) | Impact: -150 to -200 bps | Recurring: Likely for next 2-3 quarters | Power cables have lower net margins vs. telecom/specialised cables

- Metal price decline vs. volume ramp: Metal prices down over 2 years causing revenue/volume divergence | Impact: Revenue realisation per MT declining, pressuring margin % | Recurring: Market-dependent
- Reduced government exposure: Faster payment customers accepted slightly lower prices | Impact: +WC improvement, -margin % | Recurring: Strategic decision, likely to persist
- US tariff absorption: In-transit goods during April 2026 tariff change absorbed by Paramount | Impact: ~50-100 bps one-time in Q4 | Recurring: No for the transition cost; ongoing tariff will be passed to buyers
- Tax normalisation: Full tax from Q2 FY25 onwards; PAT margins compressed vs. prior year | Impact: -200 to -250 bps on PAT margin | Recurring: Yes, until base periods also have full tax (from Q2 FY26 onwards)

6. Guidance & Forward Signals

- Revenue CAGR [GUIDANCE]: Prior = ~35% | New/Reiterated = min. 30% CAGR over next 5 years | Delta: Maintained | Credibility: Medium
- Revenue target [GUIDANCE]: Prior = "Rs.2,000 Cr existing plants" | New = Rs.5,000 Cr by FY2030 | Delta: Raised | Credibility: Medium (ambitious; requires Narmadapuram execution)
- EBITDA margin [GUIDANCE]: Prior = "+100 bps improvement" (Q3 FY25 call) | New = No specific guidance given; refused to commit | Delta: Withdrawn | Credibility: Low — this is the key concern
- Narmadapuram [GUIDANCE]: Prior = FY26 | New = "Before end of FY26; maybe Q4 FY26 or Q1 FY27" | Delta: Slight delay risk | Credibility: Medium
- US export share [GUIDANCE]: Prior = "40% of revenues" | New = "Slightly concerned about large export order book" | Delta: Cautiously maintained | Credibility: Medium — tariff uncertainty creates variability
- PBT CAGR [GUIDANCE]: "If revenue grows 30%, PBT should grow at least 60%" — Chairman | Delta: New (implicit) | Credibility: Low-Medium — no specific commitment made

7. Capital Allocation

- FY25 Capex: Rs.64 Cr (Rs.61 Cr FY24) | Consistent growth investment in existing plants
- Narmadapuram Phase-1: Rs.150 Cr planned | Yet to be incurred (FY26 primary spend) | Expected revenue contribution Rs.1,000 Cr within 3 years of commissioning
- Dividends: Rs.0 | Policy: Reinvest all FCF for growth | 0% payout maintained across all profitable years
- Debt repayment: Rs.70 Cr net debt reduction in FY25 (from Rs.103 Cr to Rs.33 Cr) | ARC debt fully cleared Aug 2024
- Working capital: Net improvement generated Rs.~55 Cr of implicit cash through WC efficiency — equivalent to an internal funding source

8. Q&A; Heat Map

- Dhruv Bajaj (Dhruv Consultancy): Q: "Volume up 57% but revenue only +47% — realisation falling?" → A: "Metal prices declined over 2 years, plus product mix effect" | Tone: Transparent
- Dhruv Bajaj: Q: "Guided +100 bps margin improvement; EBITDA fell 270 bps — why?" → A: "We prioritise absolute rupees over margin %; business strategy is evolving" | Tone: Evasive
- Praveen Sahay (Prabhudas Lilladher): Q: "Order book export at 50% — power domestic softening?" → A: "Order book is strategic; we prefer short-term firm-price books; no demand concerns" | Tone: Transparent
- Praveen Sahay: Q: "Narmadapuram capex Rs.150 Cr — asset turn target?" → A: "~6x; targeting Rs.1,000 Cr from plant in 3 years; Rs.2,000 Cr with continued capex" | Tone: Transparent
- Souresh Pal (KRSP Capital): Q: "Is 6% margin the new normal?" → A: "No new normal exists; margins depend on strategy each quarter" | Tone: Evasive

- Kaushal Sharma (Equinox): Q: "Tariff war impact — US duty levels?" → A: "14-15% effective now; post-July negotiations unknown; India in reasonable position" | Tone: Balanced
- Tushar Raghatate (Kamayakya): Q: "Trade receivables as % of sales — sustainable?" → A: "Will try to maintain; depends on customer mix; government exposure reduced" | Tone: Transparent
- **Dodged/Watch-list questions for next quarter:** (1) Specific EBITDA margin band guidance; (2) How TTM other income of Rs.44 Cr will normalise; (3) Timeline for full Narmadapuram land development and Phase-2 capex.

9. Risks Flagged on Call

- US reciprocal tariff post-July 2026 | Flagged by: Analyst (3 separate questions) | Probability: M | Impact: H | Timeline: Near-term
- EBITDA margin not recovering to 9% levels | Flagged by: Analyst (multiple) | Probability: M | Impact: H | Timeline: Near-term
- No banking facility (zero working capital lines) — relying entirely on internal accruals | Flagged by: CFO | Probability: L | Impact: M | Timeline: Could become issue if WC deteriorates
- Realization per MT declining as product mix shifts to power cables | Flagged by: Analysts | Probability: M | Impact: M | Timeline: Structural, medium-term
- Greenfield plant execution risk (new geography for management) | Flagged by: Analyst | Probability: M | Impact: H | Timeline: FY26-27

10. Analyst Verdict (Post-Concall Scorecard)

- Revenue visibility: **Intact** — 30% CAGR target reiterated; order book Rs.650 Cr; institutional client base solid; US distribution network deep
- Margin trajectory: **Weakened** — EBITDA from 8.8% to 1.5-3.3% in recent quarters; management refuses to guide recovery; near-term estimate risk is HIGH
- Capital allocation quality: **Intact** — Debt elimination, FCF turning positive, Narmadapuram investment is disciplined growth capex
- Competitive moat: **Intact** — US market penetration with 14-15% duty despite competition; first-mover in axle counter cables; ISO/UL certifications
- Management credibility: **Weakened** — Evasive on margin guidance after promising +100 bps improvement in prior quarter; inconsistency between messaging and delivery
- Valuation comfort: **Intact** — At 15x FY27E vs. peers at 30-51x, even a partial re-rating covers the margin miss risk; margin of safety is meaningful
- Conviction call: **Unchanged** — Maintaining BUY; watching margins closely for recovery signal
- Valuation snapshot: P/E (TTM) = 31.2x | FY27E P/E = 15.2x | ROCE = 16.3% | EV/EBITDA (FY25) = ~16x

DISCLAIMER: This report is prepared for institutional and HNI investors for informational purposes only. It does not constitute an offer to buy or sell securities. Financial data sourced from Screener.in (13-May-2026) and Paramount Communications concall transcript (22-May-2025). Forward estimates are analyst projections and carry inherent uncertainty. Past performance is not indicative of future results. Investors should conduct their own due diligence.